

Complaint No. CC006000000198876

CC006000000198995

BEFORE THE MAHARASHTRA REAL ESTATE REGULATORY

AUTHORITY MUMBAI

1. Complaint No. CC006000000198876

Ramawatar Sharma

Chandrakala Sharma

.... Complainants

Versus

Sahyog Homes Limited

Sankalp Siddhi Developers Pvt. Limited

.... Respondents

Along with

2. Complaint No. CC006000000198995

Santosh Kumar Jain

Hemalata Santoshkumar Jain

.... Complainants

Versus

Sahyog Homes Limited

Sankalp Siddhi Developers Pvt. Limited

.... Respondents

MahaRERA Project Registration No. P51800003040

Coram: Shri. Mahesh Pathak, Hon'ble Member - I/MahaRERA

C.A. Dilip Agarwal appeared for the complainants.

Ld. Adv. Rahul Shelar appeared for the respondent.

ORDER

(Friday, 3rd March , 2023)

(Through Video Conferencing)

1. The complainants above named has filed these two online complaints before the MahaRERA on 15-11-2021 and 7-12-2021 (respectively) mainly seeking directions from MahaRERA to the respondents to pay the

interest for the delayed possession under the provisions of section 18 of the Real Estate (Regulation & Development) Act, 2016 (hereinafter referred to as 'RERA') in respect of Flat No. 2504 & 2404 admeasuring 74.32 sq.mtrs on the 25th and 24th floor respectively in building No. S-4, in the respondent's registered project known as "Verona" bearing MahaRERA registration No. **P51800003040** located at Village Andheri, District Mumbai.

2. These complaints were heard several occasions and same were heard finally on 08-12-2022 as per the Standard Operating Procedure dated 12-06-2020 issued by MahaRERA for hearing of complaints through Video Conferencing. Both the parties have been issued prior intimation of this hearing and they were also informed to file their written submissions if any. Accordingly, both the parties appeared for the hearing and made their submissions. MahaRERA heard the submissions of the parties and also perused the available record.
3. After hearing the arguments of both the parties, the following Roznama was recorded -

"Both the parties are present. The complainants have argued the matter at length in the previous hearing and desires interest for delayed possession etc. The complainants in addition to the issue of clause for arbitration has mentioned that the respondent has made the complainants sign on a higher amount than agreed in the allotment letter without justification. Also, infrastructure charges have been levied which is not tenable. The respondent avers that, the MahaRERA has already passed an order dated 24-06-2022 in this project (P51800003040)

and since the complainants are similarly placed, the said order will be applied to these complaints also. The respondent has also contended that the complainants cannot raise an issue of higher amount since the agreement for sale has been signed by the complainants and the infrastructure charges are very much part of the agreement for sale and mentioned separately. In view of the above, these matters are reserved for order after one week i.e. after 15-12-2022 by which time both the parties may file their additional submissions, if need be, since all the pleadings/ reply/ rejoinder/ sur-rejoinders have been uploaded."

4. Accordingly, as per directions issued in the hearing held on 08-12-2022, respondent has uploaded its additional submissions on record on 14-12-2022. The same is accepted and taken on record. The MahaRERA has perused the said submissions and have also perused the available record.
5. It is the case of the complainants that the respondent no. 1 is promoter of this project registered with the MahaRERA and the respondent no.2 is a company registered under the provisions of the companies Act, 1956. The complainants stated that the respondent no.2 has entered into registered MOU for area sharing with respondent no.1 in the project but the copy of MOU has not been uploaded on MahaRERA website. Further, as per declaration in Form B in MahaRERA, the respondent no.2 is the co-promoter of the project with area sharing but details of the area allocated, terms of constructions, quality of construction of the project, etc have not been made available. Further, as per the market understanding, the respondent no.2 has engaged their alliance, M/s Fosun, a Chinese conglomerate in Real Estate, in developing the project.

The respondent no. 1 is the promoter and is entitled to development/re-development rights who will be developing the said larger property under SRA scheme in phase wise manner by constructing thereon several buildings viz. rehab building, composite building, sale building containing flats, shops, offices, terraces, parking spaces, etc. The said larger property comprises of privately owned land, which belongs to Government of Maharashtra and Maharashtra Housing and Area Development Authority. The Intimation of Approval (IOA) had been issued on 24-11-2010 in the name of the respondent no.1. The complainants stated that the respondent no. 1 has shown the name of the project while registering in MahaRERA as 'Verona' but at clause P of registered agreement for sale, the respondent no. 1 has shown the name of the project as 'BBJ VERONA' and at many other clauses of the registered agreement for sale. Further, the agreement for sale was registered and the respondent no. 1 had obtained the CC on 11.03.2011. As per clause 4 of the agreement for sale they have purchased the said flats nos. 2504/2404 respectively both admeasuring 74.32 sq. mtrs. of carpet area (including balcony and fungible FSI area) on 25th/24th floor in said building no. S-4, known as BBJ Verona for a consideration of Rs.88,63,000/- and Rs. 88,36,625/- respectively excluding taxes, duties, fees, cess, Stamp duty or any other charges. Therefore, total consideration should be counted as Rs.91,03,000/-and Rs.90,76,625/- respectively excluding Service tax, GST, S.D., or any other taxes or charges. The complainants have paid such taxes and other charges separately to the respondent no. 1 as per their demand from time to time. Further, as per the clause 32 of the agreement for sale the respondent no. 1 shall be liable to hand over the possession of the flats on or before 31st December, 2019

with further grace period of 6 months. In fact, as per RERA there is no concept of grace period as per Section 8 of MOFA and RERA is superseding MOFA. Therefore, the agreed date of possession be taken as 31st December, 2019. Further, the total consideration for the said premises including Covered/Mechanical Car Parking spaces agreed as per agreement for sale was at Rs.88,63,000/- and Rs.88,36,625/- respectively. They have paid a sum of Rs.48,29,652/- and Rs.48,15,146/- respectively towards earnest money as well as instalments on or before the registration of agreement for sale as per the demands raised by the respondent no. 1 over period of time. Last demand was raised on 14.07.2020. The complainants have further stated that the respondent no. 1 had issued allotment letter on 10.6.2010 and 18-7-2014 respectively duly acknowledged by both the parties stating carpet area of the said flat as 796 sq. ft. for 2 BHK flat bearing no. 2504/2404 in BBJ Verona Tower at agreed value of Rs.69,63,000/- and Rs.69,36,625/- respectively. Thereafter respondent no. 1 arbitrarily increased consideration amount without mutual consent by issuing two letters in May and July 2014 wherein consideration amount was increased to Rs.79,63,000/- and Rs.79,36,625/- respectively. On raising objection by the complainants, the respondent no.1 threatened to cancel the said flats and the complainants had no other choice except to succumb to the illegal demand of the respondent no.1. The respondent no. 1 had arbitrarily and immorally blackmailed the complainants. Therefore, the differential incremental amount of Rs.19,00,000/- in the sale consideration which were arbitrarily collected by the respondent no.1 should be refunded or adjusted to the complainants. Further, the respondent no. 1 did not have any valid reason for delaying the possession of the premises while they have been

smart enough to collect 74.59% and 78.02% respectively out of total agreement value of by way of unscrupulous payment policy and payment schedule while the respondent no.1 was very much aware that project is not going to be completed by that time. The complainants stated that the respondent no. 1 had taken bank loans on the said project and siphoned the money. The bank loans are shown in the encumbrances and charges filed at the time of MahaRERA registration: i. Mortgage loan availed from ICICI Bank Ltd. The complainants state that the respondent no. 1 cannot escape from the responsibility for the purpose of paying interest & compensation for delay in possession of the flat beyond promised possession date i.e., 31-12-2019 as per agreement for sale. Further the respondent no. 1 has not formed the society as required under section 11(4)(e) of RERA and is not sharing the contact details of the allottees for furtherance of common interest of allottees and is legally bound to pay interest and compensation for the delay period in giving the possession of the flat with effect from 31.12.2019, the date of agreed possession and the respondent no. 1 is not entitled in the given case for the benefit of moratorium period due to Force Majeure granted by MahaRERA at subsequent dates does not apply to this case. The complainants therefore pray to the respondent no. 1 to pay interest under section 18(1) of the RERA for the delay period in possession of the flat (with OC) beyond 31-12-2019 and to refund or adjust the amount which was arbitrarily increased in agreement for sale by the respondent no. 1 from agreed amount of consideration in the original allotment letter dated 10.6.2010 and 14-06-2010 respectively. Besides benefit of moratorium period allowed due to Covid -19 by MahaRERA may not be given since the force majeure happened after the promised date of

possession i.e. 31-12-2019 as per agreement for sale. Further to also give directions to form a society and order the respondent no. 1 not to create third party interest in the flat and to levy heavy penalty under section 60 of the RERA. Hence, they prayed to allow these complaints.

6. The respondent no.1 has contested these complaints and refuted the claim of the complainants by filing its reply stating that the complaints are not maintainable. Clause 83 of the agreement for sale the parties have agreed to refer their dispute or differences to arbitration as per the provisions of Arbitration and Conciliation Act, 1996. The allotment letters and the agreements for sale were executed before the RERA came into force and hence the present complaints are not maintainable. Further, the allegation made by the complainants that the agreement were registered after 5 years and an amount of Rs. 19 lakhs were arbitrarily increased in the agreements for sale and the same be refunded is totally false. The complainants never raised any objection in respect of execution or covenants recorded in the agreement for sale. The relief sought by them regarding registration of the society is also not maintainable since the project is still incomplete and under construction. Further they are also not entitled to any blanket direction against it in the absence of any cause of action. They have failed to fulfil the payment terms of the said agreement for sale and are liable to pay interest on the delayed payments. The building Verona comprises of basement + ground + 38 upper floors and it has constructed 35 slabs and internal work is also in progress. Since it is constructed as a part of S.R. Scheme and therefore the FSI for the construction of upper floors of the sale building will be released in proportionate to construction and

completion of rehab buildings. The respondent has relied on the judgement of the Hon'ble Bombay High Court in the case of Neelkamal Realtors and stated that it has taken bonafide and genuine efforts to complete the project. Further, there is no intentional delay on the part of respondent in completion of the building. Due to Covid-19 pandemic the construction work came to standstill due to non-availability of the labourer's and construction. Towards this, the MahaRERA has also issued Circulars twice for extension due to force majeure period. There was delay in getting timely approvals from the Slum Rehabilitation Authority. In the meantime, the DCPR 2034 came into effect from September 2018 but it had constructed plinth of the rehab building no.1 by then. The possession date in the agreement for sale got reasonably extended by a period of 15 months taking into account the mitigating circumstances on account of Covid -19 pandemic. The A wing of the rehab building no.3 is nearing completion and due to Covid -19 it could not get occupation certificate. There are 194 allottees who are awaiting for possession and any further liquidity crunch would only jeopardise the dreams of the said allottees to take possession of their homes. If orders are passed for payment of interest, it will obviously be used as a precedent by all 194 allottees and the project could be stalled due to paucity of funds. Further, there is no violation of provisions shown by the complainants which is mandatory for filing any complaint under section 31 of the RERA.

7. The complainants have filed their rejoinders on record on 10-8-2022 stating that the respondent failed to deliver the possession of the flats with OC on or before 31-12-2019 as agreed in the agreement for sale.

Hence, it is legally bound to pay interest and compensation for the delay to them and is also not entitled to benefit of moratorium period due to force majeure since the impact of Covid-19 was started after the expiry of the agreed possession. The cause of action arose because the respondent no.1 failed grossly to handover possession on the agreed date. Further, the respondent no.1 has pointed out arbitration clause no. 83 in the agreement for sale and such reference should be considered as normal practice in any agreement for sale but that cannot take away the powers and authorities vested in the hand of the MahaRERA. The complainants have dealt with the paras of the reply filed by the respondent and have denied the contents thereof. As regards MahaRERA order dated 14-01-2022 in complaint no. CC006000000194835 as referred by respondent no.1, it is not applicable in this case since the respondent no.1 by issued allotment letter and subsequently unilaterally enhanced the amount and not registered the flat in spite of the then MOFA provisions. The complainants have pointed out to the latest Newtech Judgement by the Hon'ble Supreme Court wherein it is made clear that interest has to be paid under section 18 of the RERA irrespective of any reason of delay in completing the project.

8. The respondent no.1 has filed its sur rejoinder on record on 13-9-2022. It has denied the averments made by the complainants that the completion date of 31-07-2023 was done without their consent. In fact, the agreement for sale was executed on 14-09-2016 i.e. prior to RERA coming into force. Due to Covid- 19 pandemic the MahaRERA has considered it as force majeure period and suo moto extended the date of completion of real estate projects. It is further denied that the consideration of the flats was

arbitrarily increased and it threatened to cancel the flats. The respondent no.1 has dealt with the paras of the rejoinder and denied the contents thereof.

9. The complainants have filed additional submission as part of rejoinder in reply to the para no.3 of the reply of the respondent with regard to arbitration clause no. 83 in the agreements for sale by referring to the Judgement in the matter of Priyanka Taksh Sood & Ors vs. Sunworld Residency Pvt. Ltd. & Anr. and order passed therein on 19-04-2022 which states that *"Disputes relating to subordinate rights in personam arising from rights in rem are considered to be arbitrable."* Besides this Judgement, they have referred to several other judgements in support of their case.
10. The complainants have filed an addendum to rejoinder filed by the respondent against its reply which refers to clause 83 of agreements for sale regarding arbitration and based on the Arbitration clause, question of maintainability has been raised and in support thereof the respondent has cited MahaRERA order dated 14.01.2022. Further, the base and ground referred is not tenable and not applicable in the present case. Further, a similar matter about maintainability of Arbitration clause has been decided by full bench at MahaREAT in the matter of Mantri Dwellings Pvt. Limited in Appeal no. AT006000000010792 on 11th July, 2019. Therefore, the complainants can opt any one of the concurrent remedy available and in the present case, the complainants have opted for MahaRERA for resolution of the dispute.

11. The respondent has filed additional submissions on record on 14-12-2022 stating that as per clause 32 of the agreements for sale , the date of possession is 31-12-2019 with further grace period of 6 months i.e. 30-06-2020 subject to force majeure circumstances. It was agreed between the parties in the agreements for sale that a grace period of 6 months would be provided to the developer for handing over possession of the said flat which has been suppressed by the complainants. The said period is falling within the moratorium period as per MahaRERA Notifications of 02-04-2020 and 18-05-2020. This is held in similar kind of complaint bearing Complaint no. CC0060000000194046 in the matter of Mrs. Asifa Moinuddin Shaikh & Ors. vs. Sahyog Homes Ltd. by order dated 18-4-2022 and in Complaint no. C0060000000055409 in the matter of Mr. Srivasta Moraje & One vs Sahyog Homes Ltd. by order dated 24-06-2022. Hence it is prayed that the complaints ought not to be maintained and considering the mitigating circumstances the respondent be exempted from payment of interest for 15 months and the benefits of moratorium period due to force majeure as per order no. 14/2020 and 21/2021 be granted in its favour.
12. The MahaRERA has examined the rival submissions made by both the parties and also perused available record. By filing these complaints, the complainant allottees are seeking relief under section 18 of the RERA towards possession along with interest for the delayed possession. The complainants have mainly contended that they are seeking interest for delayed possession under section 18 of the RERA on account of delay. The complainants in addition to the issue of clause for arbitration has also contended that the respondent has made them to sign the

agreements for sale on a higher amount than agreed in the allotment letter without any justification. Further, the respondent has levied the infrastructure charges which is not tenable.

13. The said claim has been denied by the respondent No 1 promoter who registered this project with MahaRERA (hereinafter referred to as the respondent) raising the issue of arbitration clause No. 83 mentioned in the agreement for sale and stating that these complaints are not maintainable under the provisions of RERA. The respondent has also contended that, the MahaRERA has already passed an order dated 24-06-2022 in this project and since the complainants are similarly placed, the said order will be applied to these complaints also. The respondent has also contended that the complainants cannot raise an issue of higher amount since the agreements for sale has been signed by the complainants and the infrastructure charges are very much part of the agreements for sale and mentioned separately.
14. As far as the issue of arbitration clause raised by the respondent, the MahaRERA is of the view that the same is being raised at a belated stage , when these complaints are scheduled for final hearing. Moreover, in other similarly placed complaints decided by the MahaRERA in this project, this issue was never raised by the respondent. Hence, the MahaRERA at this belated stage is not going to decide the said issue of arbitration raised by the respondent.
15. From the submission made by both the parties, it is an admitted fact that the complainants are allottees of this project registered by the

respondent. Both the parties have executed registered agreements for sale dated 14-09-2016. According to the said agreements for sale, the respondent has agreed to handover possession of the said flat to the complainants on or before 31-12-2019 with grace period of 6 months i.e. 30-06-2020. However, due to the unforeseen factors such as delayed permissions, change in DCPR-2034 and Covid-19 pandemic the project got delayed. The respondent has not denied the delay caused in this project nor it has denied the payment made by the complainants, however, it has stated that the said delay was due to the mitigating circumstances and hence it was beyond its control.

16. In this regard, the MahaRERA is of the view that, under the provisions of MOFA, the promoter was entitled to seek 6 months extension due to force majeure reasons. In this case too, the said agreements for sale were executed on 14-09-2016 under the provisions of MOFA. Considering the said reasons of delay cited by the respondent, the respondent promoter is also entitled to seek extension of 6 months in the date of possession mentioned in the said agreements for sale. Thereby, the date of possession in this case, gets extended till 31-12-2019 from 30-06-2020. However, on that date the project was incomplete and hence, in this case, the complainants are entitled to seek interest for the delayed possession under section 18 of the RERA.
17. As far as the issue raised by the complainants about the non-applicability of grace period mentioned in the agreements for sale, the MahaRERA is of the view that the complainant allottees after signing the agreements for sale willingly in the year 2016 cannot be permitted to make any

grievances about various clauses of the agreement for sale after lapse of more than 6 years. If these clauses were not acceptable to them, in that event they should have taken appropriate steps at the relevant time for cancellation of the said agreements for sale. However, no such steps seem to have been taken by the complainants. Hence, the complainants at this belated stage cannot be permitted to make any grievances about the said clause of the agreements for sale.

18. As far as the other issue of unilateral increased in the consideration amount in the agreements for sale, than what is mentioned in the allotment letter, the MahaRERA is of the view that since the complainants have signed the said agreement without raising any grievances, the same supersedes all earlier written contract. Hence, now after signing the said agreement for sale, the said issue seems to be an afterthought and hence the same can not be entertained by the MahaRERA.
19. As far as the issue of formation of society, the MahaRERA is of the view that the provision of section 11(4) (e) of the RERA provides that the promoter is liable to enable the formation of society once more than 51% of the booking is done in the project. Hence, the respondent is under statutory obligation to take appropriate steps in this regard and no specific direction is required to be given to the respondent, as it has to follow the law as stated above.
20. As far as the issue of the infrastructure charges raised by the complainants, the MahaRERA is of the view that whatever amount

agreed to be paid by the complainant allottees as per the terms and conditions of the said agreements for sale dated 14-09-2016, the allottees are bound to make the said payment. However, the respondent promoter is not entitled to seek any payment which is not part of the said agreements for sale.

21. In view of the above facts and discussion, the following order is passed:

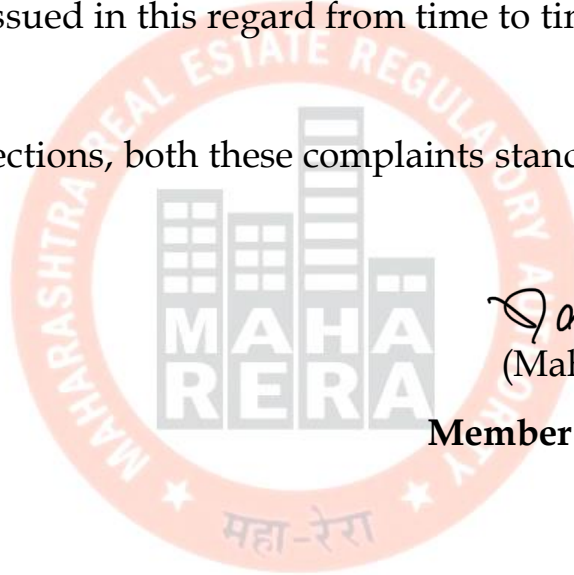
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- a. The respondent promoter is directed to pay interest for the delayed possession to the complainants from 01-07-2020 (considering the 6 months extension as per the provisions of MOFA) for every month till the actual date of possession of the said flats to the complainants on the actual amount paid by the complainants towards the consideration of their flats at the rate of Marginal Cost of funds based Lending Rate (MCLR) of SBI plus 2% as prescribed under the provisions of section 18 of the RERA and the Rules made thereunder.
- b. Needless to state here that the actual amount as provided under section 18 of the RERA means the amount paid by the complainants towards the consideration of the said flats only, excluding the stamp duty, registration charges and taxes etc. paid to the government.
- c. However, in view of the mitigating circumstances beyond the control of the respondent promoter and also to ensure that the said project is not jeopardized due to the outflow of finances and is completed keeping in mind the interest of the other buyers of the said project at large, it is directed that the amounts of interest shall be paid by the respondent promoter to the complainants after obtaining the full occupancy certificate. Even, the respondent promoter at the time of

possession of the flats to the complainants, may set off the outstanding dues with the interest amount payable by it to the said complainants and the balance amount if any, by either party be paid at the time of possession.

- d. With regard to the payment of interest to the complainants, the MahaRERA further directs that the respondent promoter is entitled to claim the benefit of "moratorium period" as mentioned in the Notifications / Orders nos. 13 and 14 dated 2nd April, 2020 and 18th May, 2020 issued by the MahaRERA and the Notification/Order which may be issued in this regard from time to time.

22. With the above directions, both these complaints stand disposed of.



(Signature)
(Mahesh Pathak)

Member - 1/MahaRERA